

EQUITY RESEARCH · COMPANY DEEP DIVE

Tesla, Inc. (TSLA.US)

Consumer Cyclical · Auto Manufacturers
Large Cap (>\$200B) · Report Date: June 12, 2026
Latest financials: Q4 FY2025 · Model data as of 2026-06-12

OVERWEIGHT

Blended Target: \$419.94

DCF + Comps + Analyst (see cross-check table)

Implied upside: +6.8%

Price (Jun): \$393.25

INVESTMENT HIGHLIGHTS

- **OVERWEIGHT** — blended target \$419.94 (+6.8% vs \$393.25); analyst-led valuation after outlier checks.
- Declining revenue; compressed margins; conservative balance sheet; weak roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps and analyst consensus where shown.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Tesla, Inc. (TSLA) — Consumer Cyclical. Tesla, Inc. designs, develops, manufactures, leases, and sells electric vehicles, and energy generation and storage systems in the United States, China, and... **OVERWEIGHT** rating; blended target \$419.94. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$1.48T	Shares Out.	3755.7M
52-Week Range	\$288.77 – \$498.83	P/E (TTM)	364.0x
P/B	18.0x	Beta	1.80
Avg Volume	58.88M	Analyst Rec.	Buy
Revenue (TTM)	\$94.83B	Rev Growth	-2.9%
Op. Margin	4.2%	FCF (TTM)	\$6.22B



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	97,690	94,827	92,048	90,850	90,704
Revenue Growth (%)	N/A	-2.9%	-2.9%	-1.3%	-0.2%
Net Income (\$M)	7,130	3,794	3,683	3,635	3,629
Net Income Growth (%)	N/A	-46.8%	-2.9%	-1.3%	-0.2%
Gross Margin (%)	17.9%	18.0%	19.1%	19.1%	19.1%
Net Margin (%)	7.3%	4.0%	4.0%	4.0%	4.0%
ROE (%)	9.8%	4.6%	4.5%	4.0%	3.8%
EPS (\$)	1.90	1.01	0.98	0.97	0.97
Book Value / Share (\$)	19.41	21.87	21.87	24.11	25.32
P/E (x)	207.14	389.28	401.04	406.32	406.98
P/B (x)	20.26	17.98	17.98	16.31	15.53
Dividend Yield (%)	N/A	N/A	N/A	N/A	N/A

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$17.53	-95.5%	0% (excluded)	DCF implied price < 35% of market (capex-heavy or distorted FCFE)
Comps — P/E (peer median)	\$33.72	-91.4%	—	Peer median P/E 31.2x
Comps — EV/EBITDA (peer median)	\$85.81	-78.2%	—	Peer median 27.2x
Comps — P/S (peer median)	\$262.68	-33.2%	—	Peer median P/S 10.4x
Comps — Blended (avg. of available multiples)	\$127.40	-67.6%	0% (excluded)	Diverges below other methods (30% of median)
Analyst consensus (Yahoo Finance)	\$419.94	+6.8%	100%	Included in blend
Blended target (weighted)	\$419.94	+6.8%	100%	Analyst 100%

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	13.89%
Terminal g	4.00%
FCFE growth	2.50%
Base FCFE	\$6.22B
PV explicit (5Y)	\$22.92B
PV terminal	\$38.63B
Equity value (adj.)	\$65.82B
Implied price	\$17.53
vs. current	-95.5%

INDUSTRY ANALYSIS

1. Industry Overview

Tesla, Inc. designs, develops, manufactures, leases, and sells electric vehicles, and energy generation and storage systems in the United States, China, and internationally. The company operates in two segments, Automotive; and Energy Generation and Storage. The company offers electric vehicles, as well as sells automotive regulatory credits; and non-warranty maintenance services and...

2. Key Trends

- Revenue contraction (-2.9% YoY)
- Above-market volatility (β=1.80)
- Sector: Consumer Cyclical | Industry: Auto Manufacturers

3. Risk Factors

- Premium valuation (P/E: 364.0x)
- High market sensitivity in downturns

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
NVDA	NVIDIA Corporation	\$4.95T	31.2x	29.7x	63.0%	+85.2%
GOOGL	Alphabet Inc.	\$4.40T	27.5x	26.7x	37.9%	+21.8%
AAPL	Apple Inc.	\$4.26T	35.2x	27.2x	27.2%	+16.6%
MSFT	Microsoft Corporation	\$2.86T	22.9x	16.0x	39.3%	+18.3%
TSLA*	Tesla, Inc.	\$1.48T	364.0x	132.6x	3.9%	-2.9%

* Subject company. Commands premium p/e vs peers; below-peer profitability. Declining revenue; compressed margins; conservative balance sheet; weak roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.